Indian Solar Market Watch, Q2

An independent quarterly note on auction clearing prices, rooftop economics, and state-level tendering. Written for internal portfolio review.

Clearing prices. Utility-scale tenders this quarter cleared between 2.41 and 2.62 per unit, a band we last saw before module logistics kiranas two years ago. The tightening traces to ocean freight on panels and a duty adjustment on imported cells. Project bids from four developers were disqualified for bank-guarantee formatting, which thinning the deep-pocket pool and nudged prices upward.

Rooftop systems. Payback math for commercial rooftops improved nine days this quarter, mostly on faster net-metering approvals in two states. Residential systems still lean on subsidies, and installer chatter suggests paperwork, not hardware, is the binding constraint. Our field survey of 60 installers found the average quoting turnaround at 11 days, an improvement from 16.

Storage. Battery tenders remain exploratory. Two pumped-water proposals advance, and one firm is piloting vanadium flow batteries next to a hospital cluster where diesel back-up currently runs 80 hours a month.

Portfolio view. We hold three developers with 1.1 gigawatts of pipeline and are watching a fourth whose land bank lacks road access. The transmission queue is the system bottleneck: interconnection delays now average five months beyond commissioning dates. Next review will quantify how module price bands shift our yield-on-cost estimates for both existing and pending assets.